

Summary

[Chapter 5](#) questions the trust we put in our experts when it comes to investing. We then nudge the reader to consider a do-it-yourself approach. We also reviewed our “FACTS” strategy evaluation framework. Each investment decision should involve a discussion of fees, access, complexity, taxes, and search costs. Finally, we outlined the three core elements of portfolio management: asset allocation, risk-management, and security selection. We explore these three elements in the next three chapters.

Notes

¹ K. French, “The Cost of Active Investing,” *Journal of Finance* 63 (2008): 1537–1573.

² “When the Sea Dries Up,” *Economist* (September 23, 2009), <http://www.economist.com/node/243068>.

³ George O. Aragon, “Share Restrictions and Asset Pricing: Evidence from the Hedge Fund Industry,” *Journal of Financial Economics* 83, no. 1 (2007): 33–58.

⁴ Jason Zweig, *Your Money and Your Brain* (New York: Simon and Schuster, 2008), p. 4.

⁵ Daniel Kahneman, *Thinking, Fast and Slow* (New York: Macmillan, 2012).

⁶ Jeremy J. Siegel, *Stocks for the Long Run 5/E: The Definitive Guide to Financial Market Returns & Long-Term Investment Strategies* (New York: McGraw-Hill, 2013).

⁷ John H. Cochrane, “Presidential Address: Discount Rates,” *Journal of Finance* 66 (2011): 1047–1108.

⁸ H. Campbell, Y. Liu, and H. Zhu, “...and the Cross-Section of Expected Returns,” Duke Working Paper (February 3, 2015). http://papers.ssrn.com/sol3/papers.cfm?abstract_id=2249314.